Show a step-by-step ORB setup using SMC/ICT concepts only

Here is a **step-by-step Open Range Breakout (ORB)** implementation that integrates **Smart Money Concepts (SMC)** and **ICT (Inner Circle Trader)** principles, based on the latest models such as the *Veltrix FVG ORB SMC Strategy* (2025), *ORB + ICT Methodology* (2025), and the *Opening Range Breakout Master EA* (2025). These steps strip away indicator dependency and rely purely on **price action, structure, and liquidity**.[1] [2] [3]

Step 1: Define the Trading Session

Select a session that offers strong liquidity and volatility:

- **London Open (2:00–3:00 AM EST)** for FX and Gold.
- **New York Open (8:30–9:30 AM EST)** for indices and US pairs.

Mark the **Opening Range (OR)**: the **high and low** of the first 30–60 minutes.
This range forms your framework — your "liquidity boundary."

Step 2: Establish Higher-Timeframe Bias

On the **H4 or H1 timeframe**, determine market direction.

- Identify **swing highs/lows** and mark **liquidity pools**.
- Draw out major **order blocks (OB)** in the direction of market bias.
- The ORB trade will align with that bias only after confirmation.

Step 3: Wait for Liquidity Sweep of the Opening Range

Before a true breakout, institutions will often perform a **liquidity sweep**:

- Price spikes above the OR high or below the OR low to trigger stops.
- This sweep creates an FVG or Break of Structure on the smaller timeframe.
- Avoid entering during the first breakout — wait for the sweep.

Step 4: Identify the Fair Value Gap (FVG)

A **Fair Value Gap** appears when a large imbalance occurs between a strong displacement candle and the preceding one.

- Look for the displacement candle created by the liquidity sweep.

- Mark the gap between the wicks of the first and third candles.
- Institutions often fill part of the FVG before continuing in the dominant direction.

Step 5: Look for Structure Shift (CHoCH / BOS)

A **Change of Character (CHoCH)** or **Break of Structure (BOS)** confirms a clean reversal post-sweep:

- For a **bullish setup:** price sweeps below OR low → forms bullish FVG → BOS/CHoCH upward.
- For a **bearish setup:** price sweeps above OR high → forms bearish FVG → BOS/CHoCH downward.
  This signals that institutional order flow has shifted.

Step 6: Entry Confirmation

Enter on the **retrace into the Fair Value Gap or Order Block**:

- Wait for a **rejection wick** or **engulfing candle** confirmation.
- Position can be refined on M5 or M15 entries while observing H1/H4 trend.

Stop-Loss Placement: below swing low/high or beyond the OR boundary.

Take-Profit Targets:

- **TP1:** Midpoint (Consequent Encroachment) of FVG.
- **TP2:** Next liquidity pool opposite your entry (previous day's high/low or session liquidity).

Step 7: Risk and Trade Management

- Maintain **1:2 or better risk/reward**.
- Secure partial profits at 1R and let remaining position ride to liquidity or premium/discount zones.
- Avoid entering if price remains **inside the Opening Range** after 60–90 minutes (indecision phase).

Step 8: Example Workflow Summary

Bullish Scenario:

1. During London open, mark first-hour OR high/low.
2. Price sweeps below OR low → creates bullish FVG.
3. Setup CHoCH (structure shift) confirming bullish order flow.
4. Enter on retrace into FVG or bullish order block.
5. Stop below sweep candle, target next external liquidity.

Bearish Scenario: same logic inverted: sweep above OR high → bearish FVG → CHoCH down → short on retrace.

Step 9: Optional Refinements from 2025 EA Models

From the *Opening Range Breakout Master (2025)*:[3]

- You can automate detection of the first-hour range per session.
- Include a **breakout confirmation filter**, such as displacement volume or candle body size (non-indicator, purely structural).
- Add optional **session tagging** (London, NY, Midnight Killzone) for context alignment.

Summary Table

Step	Core Principle	SMC/ICT Element	Purpose
1	Mark OR high/low	Session time logic	Define initial balance
2	High-timeframe bias	Institutional order flow	Confirm direction
3	Liquidity sweep	Stop-hunt mechanism	Trap retail orders
4	Identify FVG	Institutional imbalance	Entry zone definition
5	Confirm BOS/CHoCH	Structure validation	Direction shift confirmation
6	Entry + Stop + TP	OB and FVG reaction	Risk-managed entry
7	Manage trade	Dynamic risk/reward	Capital protection
8	Apply session behavior	Market timing	Enhance precision

This framework represents the **2025 ORB + SMC + ICT hybrid** strategy, blending mechanical session logic with institutional price delivery theory — no traditional indicators, just algorithmic market structure interpretation.

Would you like me to turn this into a **code-ready structure (PineScript/MQL5)** or a **backtesting checklist** next?

⁂

1. https://www.scribd.com/document/890529936/Veltrix-FVG-ORB-SMC-Strategy
2. https://www.scribd.com/document/874533024/ORB-ICT
3. https://www.mql5.com/en/market/product/139172
4. https://sabiotrade.com/blog/ict-or-smc-how-to-trade-and-what-are-the-difference
5. https://www.youtube.com/watch?v=IjCFyPGIS88
6. https://www.scribd.com/document/763442038/Advanced-ICT-and-SMC-Trading-Strategy-Guide-Extended
7. https://www.reddit.com/r/Daytrading/comments/14gadeh/i_studied_ictsmart_money_concepts_for_4_months/
8. https://www.reddit.com/r/InnerCircleTraders/comments/1f57hnv/the_best_ict_strategymodel_yk/

9. https://atas.net/technical-analysis/what-are-ict-order-blocks-and-breaker-blocks-in-trading/
10. https://www.youtube.com/watch?v=9oSQ_XsnMcI
11. https://www.youtube.com/watch?v=5f661itCtuc
12. https://www.fluxcharts.com/articles/Trading-Concepts/Price-Action/Order-Blocks
13. https://www.scribd.com/document/901174834/1-7-Midnight-Opening-Range-1
14. https://www.youtube.com/watch?v=AmZahUb-IGU
15. https://docs.oracle.com/en/industries/communications/session-border-controller/9.2.0/configuration/sbc-configuration-guide.pdf
16. https://docs.oracle.com/en/industries/communications/enterprise-session-border-controller/9.0.0/configuration/esbc-configuration-guide.pdf
17. https://atas.net/technical-analysis/what-is-the-smart-money-concept-and-how-does-the-ict-trading-strategy-work/
18. https://www.youtube.com/watch?v=rSgFcFAa18E
19. https://www.youtube.com/watch?v=HeLvZaukMfo
20. https://www.scribd.com/document/901299468/SMC-ICT-Strategy
21. https://www.youtube.com/watch?v=tSNznsPcy-g
22. https://docs.oracle.com/en/industries/communications/session-border-controller/8.4.0/installation/sbc_scz840_installation.pdf
23. https://in.tradingview.com/scripts/smc/page-2/
24. https://forexbee.co/open-range-breakout-strategy/